Figure 3: Summary of Asset Categories and Associated ASF Factors

RSF factor	Components of RSF category
0%	• Coins and banknotes • All central bank reserves • Unencumbered loans to banks subject to prudential supervision with residual maturities of less than six months
5%	• Unencumbered Level 1 assets, excluding coins, banknotes and central bank reserves
15%	• Unencumbered Level 2A assets
50%	• Unencumbered Level 2B assets • HQLA encumbered for a period of six months or more and less than one year • Loans to banks subject to prudential supervision with residual maturities six months or more and less than one year • Deposits held at other financial institutions for operational purposes • All other assets not included in the above categories with residual maturity of less than one year, including loans to non-bank financial institutions, loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs
65%	• Unencumbered residential mortgages with a residual maturity of one year or more and with a risk weight of less than or equal to 35% • Other unencumbered loans not included in the above categories, excluding loans to financial institutions, with a residual maturity of one year or more and with a risk weight of less than or equal to 35% under the Standardised Approach
85%	• Other unencumbered performing loans with risk weights greater than 35% under the Standardised Approach and residual maturities of one year or more, excluding loans to financial institutions • Unencumbered securities that are not in default and do not qualify as HQLA including exchange-traded equities • Physical traded commodities, including gold
100%	• All assets that are encumbered for a period of one year or more • Derivatives receivable net of derivatives payable if receivables are greater than payables • All other assets not included in the above categories, including non-performing loans, loans to financial institutions with a residual maturity of one year or more, non-exchange-traded equities, fixed assets, pension assets, intangibles, deferred tax assets, retained interest, insurance assets, subsidiary interests, and defaulted securities

Source: *Bank for International Settlements 2014, 9*

3. Project Finance Overview

As defined by the International Project Finance Association, project finance entails "[t]he financing of long-term infrastructure, industrial projects and public services based upon a non-recourse or limited recourse financial structure where project debt and equity used to finance the project are paid back from the cashflow generated by the project." Given the scale of the activities often being financed, the sums of money involved in this type of investing are generally substantial. According to *Project Finance Magazine* (**2014**), the largest project finance transaction in North America in 2012 occurred when Cheniere Energy Partners, a Houston-based energy company, secured $3.6 billion in bank financing to fund the first phase of construction at its Sabine Pass liquefied natural gas (LNG) export project in Louisiana. This first phase involves the completion of two LNG "trains," purification and liquefaction plants that enable natural gas to be converted to its liquid form for shipping. Upon completion, Sabine Pass will enable Cheniere to export LNG from the United States around the globe. Already Cheniere has signed LNG delivery contracts with energy companies in India, France and Korea. Initial deliveries are scheduled to begin in